

GPGI INC GPGI

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by

KMart

			2026	2027
Price:	13.50	EPS	1.11	1.4
Shares Out. (in M):	293	P/E	12.2	9.6
Market Cap (in \$M):	3,955	P/FCF	13.9	9.9
Net Debt (in \$M):	2,000	EBIT	519	615
TEV (in \$M):	5,955	TEV/EBIT	11.5	9.7

Description

GPGI: A High-Quality Industrial Compounder at a Trough Multiple

GPGI is one of the most asymmetric risk-rewards that I've seen in my nearly two decades of investing. The company is a newly formed permanent-capital holding company controlled by former Honeywell CEO and current Vertiv Chairman Dave Cote and his longtime partner Tom Knott. Today it owns two unrelated but market-leading businesses: CompoSecure, the global leader in premium metal payment cards, and Husky Technologies, the global leader in equipment used to manufacture plastic beverage packaging. Both businesses have dominant competitive positions, high recurring revenue, strong margins and significant opportunities for operational improvement.

At \$13.50, I think the market is giving us an unusually attractive entry point. GPGI trades at <10x my 2027 EPS versus ~21x for the industrial peer group I use. My bear case gets me to ~\$12.50 in a year, while my base case gets to ~\$30 by YE27. I expect consolidated revenue growth to accelerate from just ~1% in 2026 to ~10% in 2027, EBITDA to grow 17% next year and compound at a LDD%+ rate from there, while leverage falls from 3.7x today to ~2x by YE27. Importantly, Cote, Knott and their affiliates have hundreds of millions of dollars invested alongside shareholders.

The opportunity exists because the first year of Cote's ownership of Husky could hardly have started worse. GPGI acquired the business in January, and less than two months later the Iran war and disruption around the Strait of Hormuz caused an unprecedented spike in PET resin and its underlying feedstocks. Husky's customers manufacture plastic bottles and other packaging, so when resin availability suddenly became uncertain they understandably delayed large purchases of new equipment. GPGI subsequently reduced its 2026 guidance and the stock fell from nearly \$27 earlier this year into the low teens.

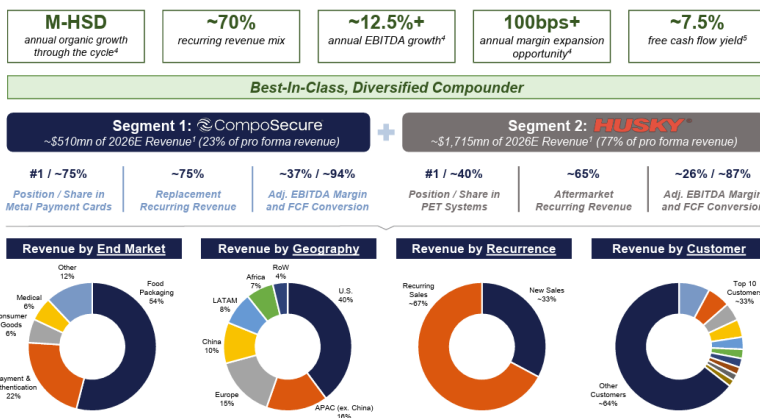
That history explains why the market is now almost entirely focused on whether GPGI can achieve a very back-half-loaded 2026 guide. I think that concern is understandable, but increasingly backward-looking. The original resin shock was extraordinary, yet prices have since stabilized, customers have secured longer-term contracts and alternative sources of supply, and Husky's system and tooling pipeline remains healthy. The stock still trades as though Husky's customers need the Strait of Hormuz to reopen before they can operate and invest normally. My work increasingly suggests they do not.

That matters because I believe the market is mistaking a temporary external shock for a structural problem at Husky just as Cote and Knott are beginning a significant operational transformation of the business. CompoSecure is already showing what their Resolute Operating System can look like when the improvements begin appearing in the numbers. Husky is earlier, has an even larger self-help opportunity and was simply hit with terrible macro timing almost immediately after the acquisition. If 2026 is the trough year I expect, GPGI should enter 2027 with accelerating growth, expanding margins, rapidly declining leverage and a much cleaner path to being valued on normalized earnings rather than the latest resin headline.

GPGI Overview

GPGI owns two unrelated businesses. CompoSecure was the original asset. It is the global leader in premium metal payment cards, with ~75% share of a market that should grow at a LDD% rate. Husky Technologies was acquired in January of this year. It is the global leader in PET injection molding systems and aftermarket products, with ~40% global share, ~13,500 installed systems and ~65% of revenue coming from recurring aftermarket sales. The combined company has ~70% recurring revenue across two businesses with leading competitive positions, high margins and strong cash generation.

I. GPGI At-A-Glance



Source: Original PIPE Slide Deck, November 2025

Dave Cote, the former Honeywell CEO and longtime Vertiv chairman, and his long-time partner, Tom Knott, are building GPGI as a permanent-capital holding company rather than trying to manufacture operating synergies between metal cards and injection molding. Each business has its own management team, while Resolute Holdings sits above them and focuses on management selection, the Resolute Operating System, capital allocation and M&A. Husky was acquired for ~\$5bn and the deal was funded with debt, ~\$2bn of new

equity at \$18.50 per share from a very high-quality institutional investor group and ~\$1bn of equity rolled by Platinum Equity.

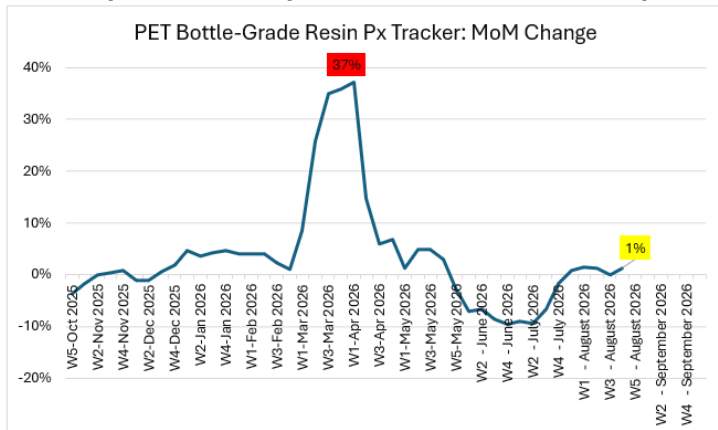
There are some useful Berkshire Hathaway elements to the architecture, although GPPI is obviously far smaller, more leveraged and much more operationally hands-on. The operating companies are decentralized, with their own management teams responsible for running the businesses, while capital allocation happens at the holding-company level. Cash does not have to be reinvested in the industry where it originated (although GPPI is plenty excited about the opportunities within both businesses today). After funding attractive organic projects, excess cash can repay debt, fund bolt-ons, acquire another company or pursue whichever opportunity offers the highest prospective return. Over time that gives GPPI a broader reinvestment universe than either Compo or Husky would have independently. Unlike Berkshire, ROS is deliberately interventionist, particularly around pricing, productivity, procurement, management and growth investment, and the RHL external-management structure is different. But the combination of decentralized businesses, permanent capital, owner-oriented management and centralized capital allocation is an important part of the long-term appeal.

Why the Stock Broke

Cote took control of Husky in January. Less than two months later, the Iran war triggered an unprecedented shock across crude, PET feedstocks and bottle-grade resin. Husky's customers suddenly faced a problem they normally do not have to think about: whether they could reliably source enough resin to run their existing plants, let alone justify adding new capacity. Large equipment orders were delayed, GPPI reduced 2026 guidance and the stock fell from ~\$26 into the low teens.

The important point is that this was not simply "higher oil prices." Husky operated through much higher oil and resin prices in 2022 without anything resembling the current disruption because the increase happened much more gradually. Customers had time to adjust pricing, sourcing, inventories and production plans. What made early 2026 different was the speed of the move. As the chart below shows, our proprietary global PET tracker recorded a ~40% increase in resin prices over only four weeks, by far the largest spike in the history of the series. That sudden move created uncertainty around both feedstock cost and availability, which temporarily froze capital decisions.

II. An Unprecedented Spike in PET Resin Prices Temporarily Froze Husky's Customers Spending



The initial shock was extraordinary. The current environment is not. Resin pricing has now been broadly stable for the better part of four months, which is exactly what customers need to resume normal capital planning.

I have spent considerable time testing whether that explanation holds up, including discussions with management, former Husky operators, resin buyers, PET and naphtha specialists, procurement executives and beverage producers, along with weekly monitoring of global PET pricing. That work has made me increasingly comfortable that the problem was a temporary shock to customer confidence rather than any structural deterioration in beverage demand or Husky's competitive position. The system and tooling pipeline remains healthy, and customers have also diversified sourcing and rebuilt more flexibility into their supply chains.

I am also not making a directional commodity call. Husky does not sell resin, and its normalized earnings power does not depend on PET or oil being cheap. What matters is that customers can source material reliably and plan around the cost. In fact, higher resin prices can actually strengthen Husky's value proposition because resin is a major production cost while the molding equipment is a relatively small part of the economics. Better lightweighting, lower scrap, faster cycle times and higher uptime become more valuable when the material running through the machine is expensive.

Can They Hit 2026?

At the moment, the achievability of 2026 guidance appears to be all the market cares about – which is creating the opportunity for those with a time horizon longer than six months. I do acknowledge the need to rebuild credibility with the market following an unfortunate start to the Husky journey, but I have high confidence that the pieces are already falling into place.

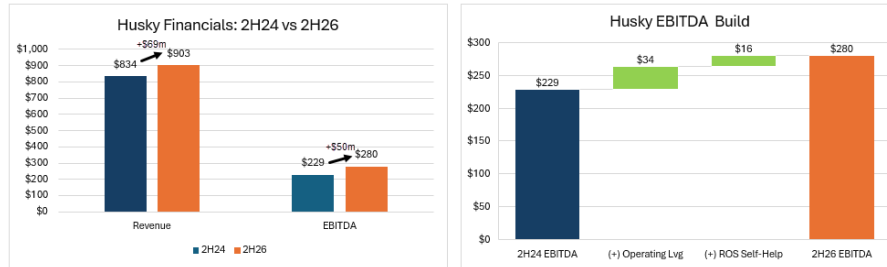
The primary skepticism is a result of how much wood is left to chop in the second half of the year to meet guidance. GPPI generated only \$196mm of adjusted EBITDA in 1H26. My full-year estimate is \$579mm, essentially the midpoint of management's range, which means the consolidated company needs ~\$383mm in 2H26.

My full-year EBITDA (\$579mm) is built from \$383mm at Husky plus \$214mm at CompoSecure, offset by only \$18mm of corporate expense. Compo is already performing well and is not really the source of the debate, so the question is whether Husky can deliver the required second-half recovery.

The better comparison is therefore Husky's 2H26 versus 2H24 given a similar revenue base. Husky generated ~\$834mm of revenue and ~\$229mm of EBITDA in 2H24. I model ~\$903mm of revenue and ~\$279mm of EBITDA in 2H26. I therefore need only ~\$70mm more revenue and ~\$50mm more EBITDA versus a comparable historical second half. At the ~50% contribution margin I use for incremental Husky revenue, ~\$70mm of additional sales should naturally generate ~\$35mm of EBITDA through fixed-cost absorption. That explains

~70% of the improvement, with the remaining ~\$15mm coming from early ROS self-help across productivity, labor, procurement and other cost actions.

III. 2H26 ramp at Husky is less heroic than it looks.



Husky has always been weighted toward 4Q, generating 37% of 2024 EBITDA and 36% of 2025 EBITDA in the fourth quarter. The first half of 2026 was also particularly poor for fixed-cost absorption, with Husky generating only ~\$103mm of EBITDA on ~\$631mm of revenue. My second-half forecast has ~\$903mm of revenue, so a manufacturing business with meaningful fixed costs should have a dramatically different margin profile as volume returns. Cost actions are already underway, while management has deliberately retained enough manufacturing and engineering capacity to avoid starving the recovery. The headline says GPGI needs \$383mm of 2H EBITDA after producing only \$196mm in 1H. The historical bridge says Husky needs only ~\$15mm of incremental self-help beyond what normal volume and contribution margins explain. I think the second framing is much more useful.

3Q therefore matters because it can settle a debate that currently consumes far too much of the conversation. I do not need 3Q to prove every dollar of the eventual 4Q result. I want to see better system timing, healthy aftermarket tooling, continued resin stability, better factory absorption and cost actions beginning to appear. If those pieces are visible and management remains on track for the year, investors can finally start looking through 2026 rather than treating first-half earnings as the normalized base.

Husky Is Far Better Than the Current Results

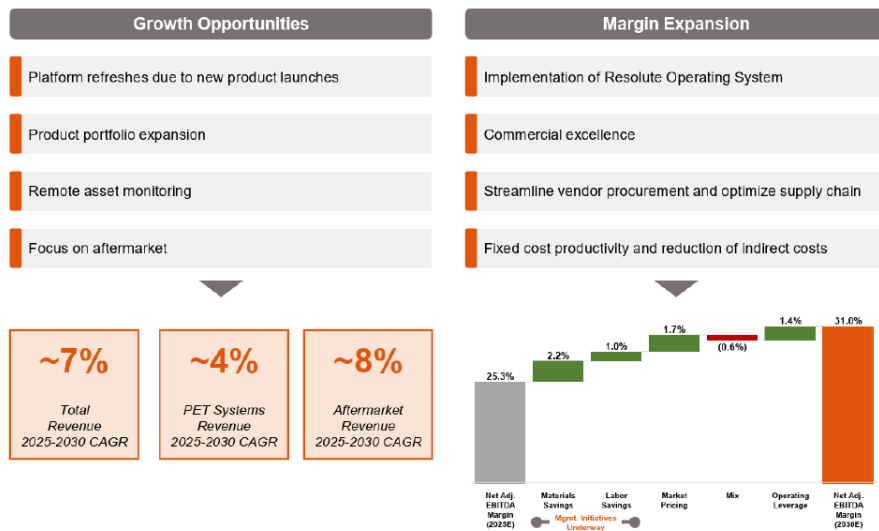
Husky gets treated like a cyclical capital-equipment company, but ~65% of revenue comes from aftermarket products and services. It has ~13,500 installed systems globally, including ~6,400 PET systems, ~40% share of its core market and machines that can operate for 10 to 25 years. Half of the installed base is more than 15 years old, lifetime aftermarket revenue can reach ~2-3x the original system sale, and Husky is ~4-5x the size of the next-largest global competitor in two-stage PET systems. Even after all of the macro disruption earlier this year, I expect 2026 to show that the aftermarket business remains resilient and growing.

That installed base creates a long tail of tooling, spare parts, modernization, service and remote-monitoring revenue. Husky has only ~1,300 connected machines ~9,000 eligible machines, leaving significant room to increase monitoring penetration and pull through more parts and service over time. The economics are attractive because customers care far more about lifetime production cost than the upfront machine price, particularly as higher resin costs and growing rPET usage increase the value of efficiency and process control.

Husky's moat is deeper than just market share. Its equipment sits at the center of customers' production lines, where reliability, cycle time and preform quality are critical, and Husky integrates the machine, molds, hot runners, controls, parts and service into one system backed by a global service network and decades of process know-how. Switching to a lower-cost competitor can therefore introduce meaningful operational risk for a high-volume plant, while the ongoing service relationship makes Husky increasingly embedded in the customer's manufacturing process over time.

The transformation opportunity is significant. Husky historically spent less than 2% of sales on R&D despite being a premium technology business. That will be going higher. Aftermarket capture is incomplete, remote monitoring is underpenetrated, parts pricing has not always reflected the economic criticality of the product, procurement has room to improve and Husky has historically been less competitive in developing markets where localization and local service matter. The original operating plan targeted more frequent product refreshes, adjacent-market expansion, remote monitoring, aftermarket penetration and manufacturing localization on growth, plus procurement, labor, pricing and fixed-cost productivity on margins. The company originally identified a path from mid-20s EBITDA margins toward ~31% over time. I believe that remains fully intact.

IV. The "Self-Help" Levers are Considerable at Husky



Source: Husky Transaction PIPE Investor Presentation (Published 11/3/25)

Cote has also put aggressive long-term “stretch” incentives in place for Husky’s management team, using the same playbook he used at Vertiv. Those targets looked unrealistic when they were first introduced at Vertiv, but the company ultimately exceeded them. Husky’s current stretch plan similarly sits well above my base case, with 30%+ EBITDA upside across 2026-2029, but I no longer underwrite to those targets or need them for the thesis to work. If Husky reaches its 2028 stretch EBITDA target of ~\$660mm, I estimate that would translate into ~\$2.12 of consolidated GPPI EPS after including CompoSecure, modest corporate expense, interest and taxes. That is nearly double my \$1.11 base-case GPPI EPS for 2026, with further upside if the transformation continues to compound.

V. Husky management stretch targets versus my own estimates

	Husky Adj. EBITDA			GPPI Adj. EPS		
	My Estimate	Stretch Target	Upside	My Estimate	Stretch Target	Upside
2026	\$383	\$500	31%	\$1.11	\$1.47	32%
2027	\$442	\$575	30%	\$1.40	\$1.77	27%
2028	\$496	\$660	33%	\$1.65	\$2.12	28%
2029	\$550	\$760	38%	\$1.95	\$2.56	31%
2030	\$609	-	-	\$2.29	-	-

VI. Husky Technologies segment set for material acceleration in 2027+

HUSKY TECH	2023	2024	2025	2026	2027	2028	2029	2030
System Sales	635	545	580	483	507	533	559	587
YoY Growth	18.0%	-14.2%	6.4%	-16.6%	5.0%	5.0%	5.0%	5.0%
% of total	41%	36%	37%	32%	30%	30%	29%	28%
Aftermarket Sales	907	949	989	1,050	1,145	1,272	1,372	1,479
YoY Growth	3.5%	4.6%	4.2%	6.2%	9.0%	11.2%	7.8%	7.8%
% of Total	59%	63%	63%	68%	68%	70%	71%	72%
Revenue	1,542	1,495	1,569	1,533	1,671	1,805	1,931	2,066
YoY Growth	9.1%	-3.1%	5.0%	-2.3%	9.0%	8.0%	7.0%	7.0%
Gross Profit	550	576	598	656	732	808	884	879
% Margin	35.7%	38.5%	38.1%	42.8%	43.8%	44.8%	45.8%	42.5%
(-) SG&A	(145)	(151)	(158)	(166)	(240)	(250)	(258)	(202)
% Margin	9.4%	10.1%	10.1%	10.8%	14.4%	13.9%	13.4%	9.8%
YoY Growth	-5.8%	4.1%	4.6%	5.1%	44.7%	4.2%	3.1%	-21.9%
Adj. EBITDA	369	385	374	383	442	496	550	609
% Margin	23.9%	25.8%	23.8%	25.0%	26.5%	27.5%	28.5%	29.5%
YoY Change	2.4%	1.8%	-2.0%	1.2%	1.5%	1.0%	1.0%	1.0%
Incremental Margins	50.8%	-33.7%	-15.5%	-26.7%	43.1%	40.0%	42.8%	43.8%
YoY Growth	21%	4%	-3%	3%	16%	12%	11%	11%

Composcore Is Already Working In a Big Way

CompoSecure is the smaller segment but the cleaner proof point. It has ~75% share of the global premium metal-card market and relationships with most of the largest U.S. card issuers, while metal still represents less than 1% of the >4bn payment cards shipped globally each year. Metal began in ultra-premium products but is expanding into mass-affluent cards, co-brands, fintechs, international programs and lower annual-fee products. The market is expected to grow ~11-12% annually, so Compo combines dominant share with a category that is itself expanding rapidly.

Once an issuer launches a metal program, expiration, loss, theft, fraud and redesign create a recurring replacement stream, with ~75% of Compo revenue tied to these dynamics. I expect the business to continue growing revenue at a LDD% rate while margins expand as ROS drives better pricing, operating leverage and cost discipline. More importantly for the broader GPPI thesis, that playbook is already showing up in the results: in 1H26 revenue grew 18%, EBITDA grew 23% and margins expanded 160bps versus 1H25, even while Compo continued investing in sales, R&D and engineering. That gives me more confidence that ROS can create meaningful self-help at Husky as well, where the process is earlier and the external backdrop has been much tougher.

VII. Composcore now humming post ROS implementation

COMPOSECURE	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	391	421	462	526	590	652	720	796
YoY Growth	3.4%	7.6%	9.9%	13.9%	11.5%	10.5%	10.5%	10.5%
Gross Profit	209	219	254	294	332	370	413	460
% Margin	53.5%	52.1%	55.0%	55.8%	56.3%	56.8%	57.3%	57.8%
(-) SG&A	(64)	(68)	(75)	(76)	(59)	(61)	(63)	(66)
% Margin	16.4%	16.2%	16.3%	14.4%	9.9%	9.3%	8.7%	8.3%
YoY Growth	-23.8%	6.3%	10.6%	1.1%	-22.9%	3.6%	3.2%	5.6%
Adj. EBITDA	133	144	179	214	248	281	317	359
% Margin	34.0%	34.2%	38.7%	40.6%	42.1%	43.1%	44.1%	45.1%
YoY Change	0.9%	0.2%	4.5%	1.9%	1.5%	1.0%	1.0%	1.0%
Incremental Margins	61.5%	37%	84%	54%	55%	45%	44%	45%
YoY Growth	6.4%	8%	24%	19%	16%	13%	13%	13%

Alignment and Resolute Holdings (RHLD)

Alignment is one reason I am comfortable owning a structure that is more complicated than I would normally prefer. Cote and affiliates originally invested \$372mm into CompoSecure, and Cote/Knott affiliated entities continue to own ~17-18% of GPPI. The people directing operations and capital allocation therefore have hundreds of millions of dollars invested alongside common shareholders. Insiders have also continued buying during the decline, including Knott buying 44,000 shares at \$17.08 and another 85,250 at an average price of \$11.67. I do not view insider purchases as a catalyst, but they reinforce the economic alignment.

The RHLD structure is probably the least conventional part of the story and one some investors dislike. RHLD is the external manager responsible for ROS, management oversight, capital allocation and M&A, and receives a fee tied directly to GPPI EBITDA, equal to ~10% annually of LTM adjusted EBITDA less stock compensation. I understand the concern that an external manager could theoretically be incentivized to gather assets simply to increase the fee base. I think the actual economics are much better aligned. Cote has vastly more economic exposure to the value of his GPPI ownership than to the incremental fee RHLD could earn from a bad acquisition. The GPPI board and operating management teams are also compensated and incentivized around GPPI performance (and in GPPI stock), not simply the size of RHLD's fee stream. I happen to think RHLD is an attractive investment as well.

I also think the "do dumb deals to grow RHLD fees" concern breaks down once you think through the long-term consequences. RHLD can recommend an acquisition, but GPPI owns that business forever. If Cote and Knott overpay for a poor asset simply to increase managed EBITDA, they simultaneously damage their enormous GPPI exposure, force management and the board to live with the bad asset and destroy the credibility required to finance future deals. They might get away with that once. A permanent-capital model only works if shareholders and counterparties trust the allocator repeatedly over decades. The rational path for both RHLD and GPPI is therefore the same: acquire good businesses at attractive prices, improve their EBITDA and compound intrinsic value.

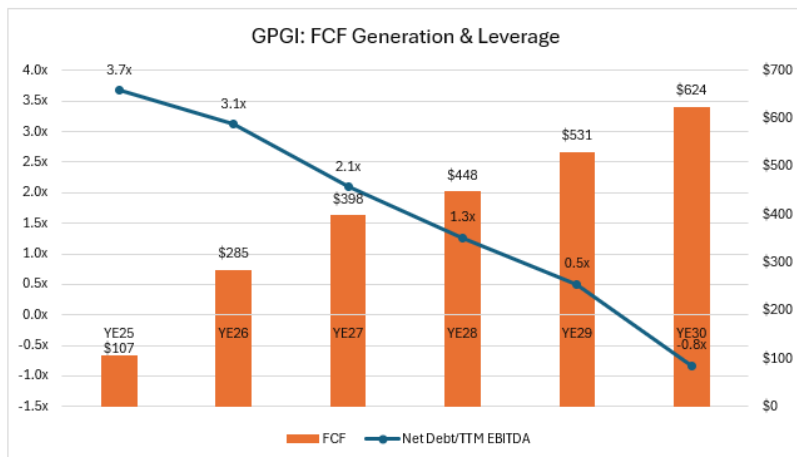
Leverage Profile Set To Rapidly Improve

Some investors balk at the sight of a heavy debt burden – and that would be my initial reaction as well. However, the immediate capital-allocation priority is not another large platform acquisition, it is debt reduction. Husky increased leverage to 3.7x, which I can understand warrants a discounted valuation multiple today, but the cash generation should change the balance sheet quickly. My model has GPPI producing \$285mm of FCF in 2026, ~\$400mm in 2027 and ~\$450mm in 2028. I get to ~2x leverage by YE27.

The leverage decline creates a second earnings benefit because interest expense falls with the debt balance. I model cash interest dropping from ~\$100mm in 2026 to ~\$74mm in 2027 and ~\$45mm in 2028. The equity therefore benefits simultaneously from revenue acceleration, margin expansion, debt reduction and lower interest expense. That combination is why EPS can grow materially faster than revenue.

Importantly, I do not expect GPPI to do another acquisition before either the leverage ratio declines and/or the price of the stock increases considerably.

VI: Leverage is elevated today, but set to improve rapidly



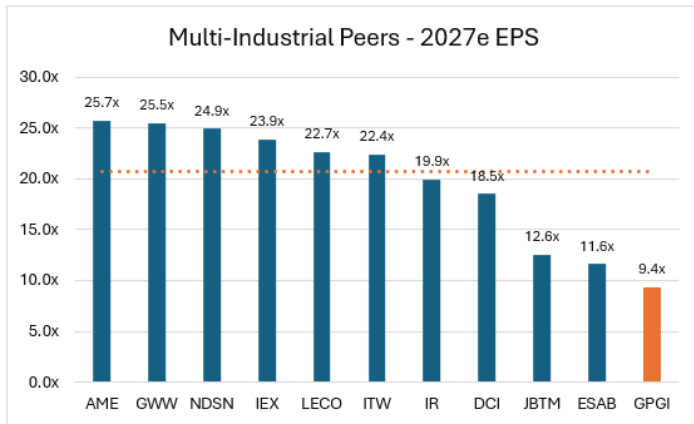
Valuation

At \$13.50, GPPI trades at ~12x my 2026 EPS and less than 10x my 2027 EPS. P/E is the primary valuation metric for mature multi-industrial companies, and I think it becomes increasingly appropriate for GPPI as the elevated post-Husky leverage normalizes. What is especially attractive is that the market appears to be putting a trough multiple on trough earnings right in front of what I expect to be a

major acceleration in revenue, EBITDA, EPS and FCF growth. If 2026 proves to be the trough year I expect, I think that combination of earnings growth and balance-sheet normalization should drive a meaningful rerating.

My industrial peer group consists of GWW, AME, ITW, IR, LECO, NDSN, IEX, JBTM, DCI and ESAB. Consensus 2027 P/Es range from 12x to 26x and average 21x. GPPI trades at ~9.5x. I am not arguing that GPPI deserves the peer average today. The balance sheet is more leveraged, Husky still needs to prove the 2026 recovery, and the corporate structure is newer, so some discount is warranted. I have difficulty believing a >50% discount remains appropriate if GPPI exits 2027 growing EBITDA at a LDD%+ rate with leverage around the low-2x area.

VII: GPPI at >50% discount to Multi-Industrial Peers on 2027e EPS



My YE27 target is ~\$30, based on 18x my \$1.65 of 2028 EPS. That multiple is below the current peer average and does not require the Husky stretch case. If Husky pulls \$1.65 of earnings into 2027, as its stretch plan suggests it can, today's stock is only ~8x that potential earnings level.

I also think the current valuation embeds an unusually harsh assumption about Husky. Using a ~13x multiple for CompoSecure, approximately where Compo traded leading up to the Husky announcement last fall, the current GPPI enterprise value implies only ~6x 2027 EBITDA for Husky. That is a ~47% discount to the ~11x multiple GPPI effectively paid for the business, which suggests the market is pricing Husky as though Dave Cote overpaid by nearly 50% and the asset is now structurally impaired.

I think that is the wrong conclusion. The weakness in 1H26 was driven by an extraordinary resin and feedstock shock that appears increasingly transitory, while ROS should structurally improve Husky's margins, aftermarket penetration, pricing, procurement and growth over time. If anything, the ~13x Compo assumption may be conservative given the significant improvement in its growth, margins and earnings outlook since last fall; one could reasonably argue Compo deserves a 16-18x multiple today.

VIII. The Market is Pricing Husky at a ~50% Discount to Resolute's Purchase Price

Implied Valuation for Husky through SOTP:

GPPI Consolidated	\$5,927
Composecure EBITDA '27e	\$248
Target Multiple	13.3x
Enterprise Value	\$3,287
Implied Husky EV	\$2,640
Husky EBITDA -27e	\$442
Implied EV/EBITDA for Husky	6.0x
Discount vs initial price	-47%
Original GPPI Acq Multiple	11.2x

Risks / What Would Change My Mind

The most obvious risk is a global recession. Husky's aftermarket should be relatively resilient, but new systems are still capital equipment and customers can defer spending. Compo is less cyclical, but a severe downturn could still slow new card programs and issuer spending.

The biggest company-specific risk is that Husky customers never return to normal spending even as resin availability improves. My thesis is that 1H26 weakness was mainly caused by feedstock uncertainty and delayed purchasing decisions. If resin stabilizes and the system pipeline still fails to convert, I would have to conclude that some of the lost demand was structural, which would directly challenge my 2027 growth and operating-leverage assumptions.

Future M&A and leverage are also important risks. GPPI does not need another large acquisition for my numbers to work, and I would prefer the company focus on deleveraging and improving Husky. A large or expensive deal before leverage falls would materially change the risk/reward and raise questions around RHLID incentives. A weaker Husky recovery or poor cash conversion could also slow debt reduction and delay a rerating.

Compo has apparent concentration with customers including JPMorgan and American Express, although I think the true exposure is lower because metal-card decisions are often made at the individual program level. Losing a major program, increased dual-sourcing or a slowdown in the rewards war for affluent consumers would still hurt.

Other risks include tariffs, another logistics shock, adverse PET regulation, Platinum eventually selling its stake, key-man dependence on Cote and Knott, and a persistent governance discount related to RHLd.

My downside case assumes Husky's recovery disappoints and self-help takes longer, producing only \$1.25 of 2027 EPS versus my \$1.40 base case. At 10x, less than half the peer average, that gives me \$12.50 one year from now. I would become materially more bearish if stable resin availability does not improve order conversion, guidance is cut again for reasons beyond timing, FCF fails to deleverage the balance sheet, or management pursues a large acquisition too early.

The Setup From Here

The reason I like the setup is that I do not need very much to go right. GPPI does not need Husky to hit its stretch targets and the stock does not need to reach the peer-average multiple. I mainly need Husky's customers to start behaving the way they historically have and make normal capital-spending decisions again, which I think is increasingly likely given that underlying demand for plastic beverage packaging has remained stable and continues to grow despite all of the disruption. From there, I need Husky's normal seasonality and operating leverage to reappear and management to execute the cost actions already underway.

If that happens, the financial profile changes quickly. Revenue growth goes from ~1% in 2026 to ~10% in 2027, EBITDA growth accelerates to ~17%, EPS grows 26%, FCF approaches \$400mm and leverage moves toward the low-2x area. At the same time, Compo continues compounding in a metal-card market that is still <1% penetrated, while Husky has substantial self-help that I do not need in the base case.

The stock is still priced as though Husky's customers require an open Strait of Hormuz to operate normally and as though the first half of 2026 represents normalized earnings. Our proprietary resin tracker, repeated management work, former-operator calls, procurement checks, bottler read-throughs and direct experience underwriting Cote through Vertiv's own operating crisis increasingly point in the opposite direction. The original resin shock was unprecedented, but customers have adapted much faster than the stock price suggests.

At <10x my 2027 EPS versus a peer group at ~21x, I think the market is offering a very large discount for problems that should become increasingly measurable over the next few quarters. If GPPI simply gets through 2026, the debate should shift from whether the Husky acquisition was a mistake to how quickly Cote can compound the two assets from here.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

IX. My Consolidated Model for GPPI Through 2030

GPPI - CONSOLIDATED FINANCIALS								
	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	1,933	1,915	2,031	2,060	2,261	2,456	2,651	2,862
YoY Growth	7.9%	-0.9%	6.0%	1.4%	9.8%	8.7%	7.9%	8.0%
Organic Growth	8.0%	-0.2%	6.0%	1.4%	9.8%	8.7%	7.9%	8.0%
Adj. EBITDA	502	523	544	579	675	759	849	947
% Margin	26.0%	27.3%	26.8%	28.1%	29.8%	30.9%	32.0%	33.1%
YoY Change	2.0%	1.3%	-0.5%	1.3%	1.7%	1.1%	1.1%	1.1%
Incrementals	51.8%	-118.4%	18.1%	120.7%	47.5%	43.3%	45.9%	46.9%
YoY Growth	17.0%	4.2%	4.0%	6.4%	16.5%	12.5%	11.8%	11.7%
EPS Calculation:								
Net. Adj. EBITDA			544	579	675	759	849	947
(-) Depreciation				(60)	(60)	(60)	(60)	(60)
(-) Amortization				-	-	-	-	-
Adj. EBIT				519	615	699	789	888
Interest expense				(127)	(99)	(74)	(45)	(11)
Pre-tax income				392	516	625	743	876
Tax expense				(82)	(96)	(138)	(168)	(201)
NCI				-	-	-	-	-
Adjustments - Intangible Amort				-	-	-	-	-
Net income				323	410	487	576	675
Dil. TSO				290	294	295	295	295
EPS (\$)	\$0.85	\$0.85	\$0.99	\$1.11	\$1.40	\$1.65	\$1.95	\$2.29
YoY		0%	16.5%	12%	26%	18%	18%	17%
FCF Calculation								
Adj. EBITDA	550	574	544	579	675	759	849	947
(-) Cash Interest	(294)	(302)	(251)	(100)	(99)	(74)	(45)	(11)
(-) Cash Taxes	(51)	(57)	(59)	(84)	(106)	(159)	(189)	(222)
(+/-) Working Capital	(1)	(5)	(11)	-	-	-	-	-
(-) Capex	(44)	(51)	(72)	(110)	(71)	(78)	(84)	(90)
(-) Business Transformation Costs	(80)	(39)	(26)	-	-	-	-	-
(+/-) Other	(15)	(15)	(18)	-	-	-	-	-
Free Cash Flow	65	105	107	285	398	448	531	624
Per Share	\$0.22	\$0.36	\$0.37	\$0.98	\$1.36	\$1.53	\$1.82	\$2.14

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts: strong 3Q execution that preserves FY26 guidance; evidence that stable resin supply is translating into Husky order conversion; a preliminary 2027 outlook showing the expected growth inflection; broader multi-industrial sell-side coverage; and continued FCF-driven deleveraging.

Messages

Subject Why GPGI?
Entry 09/04/2026 10:41 AM
Member BlueFIN24

Nice write-up, you mention RHL D is attractive as well, but why do you prefer GPGI at current prices? The same Husky/Compo EBITDA recovery underpinning your thesis increases RHL D's fee which is 2.5% of LTM adjusted EBITDA each quarter, or roughly 10% annually while RHL D largely avoids GPGI's leverage, interest expense, acquisition funding and dilution. Future M&A seemingly favors RHL D even more because it earns fees on acquired EBITDA without supplying the capital.

Is the answer simply valuation with GPGI at <10x your 2027 EPS versus RHL D at a much richer multiple or do you think GPGI's residual-equity and deleveraging convexity more than offsets RHL D's capital-light economics? I'd be interested in how you compare the downside and 2-3 year IRR of the two.

Subject competitive landscape
Entry 09/04/2026 10:48 AM
Member starfox02

Thanks for the writeup. A couple questions on CompoSecure, as it doesn't obviously strike me as a moat-y business (but oftentimes that's not always obvious):

1. What actually stops traditional card makers or new entrants from taking share as metal expands into mass-affluent and fintech?
2. Is there a real process or technological moat versus just having legacy issuer relationships?

Subject Re: Why GPGI?
Entry 09/04/2026 10:53 AM
Member KMart

Yeah I think it's mostly valuation + convexity. RHL D is definitely the cleaner, capital-light way to play the same EBITDA growth and probably has the better downside because it doesn't have GPGI's debt, interest expense or acquisition funding risk. But you're paying a lot more for that cleanliness, and RHL D is pretty illiquid, which is a real issue for larger funds trying to build or exit a meaningful position.

At <10x my 2027 EPS, GPGI just looks more mispriced to me. If Husky normalizes and Compo keeps compounding, you get the operating upside, then debt paydown, lower interest expense, faster EPS growth and potentially a multiple rerating on top. RHL D benefits through the fee stream, but doesn't have that same residual-equity/deleveraging convexity.

Also, for anyone with a sharp eye, RHL D repurchased ~8% of its TSO in the first six months of the year at average prices right around where the stock trades today, which I think is pretty telling. I own both RHL D and GPGI, but I think GPGI has the better 2-3 year IRR from here.

Subject Re: competitive landscape
Entry 09/04/2026 10:56 AM
Member KMart

Yeah I actually think the moat is MUCH better than it looks at first glance. It's not just "we know JPM and Amex." Making a premium metal card at scale is surprisingly technical: embedding EMV/NFC/Rfid into dense metal is harder than plastic, Compo has proprietary tooling, 60+ patents, annual network certifications and manufacturing scale that an entrant would basically have to build on spec before winning meaningful volume.

The other piece is the customer economics. A bank might spend \$500-\$1,000 acquiring a premium customer, so saving a few dollars by switching card vendors is basically irrelevant versus the risk of quality issues on a flagship product. That creates real switching costs once a program is established. The relationships obviously help, but I don't think they're the moat by themselves.

Traditional card makers are the bigger threat than startups, but even there the evidence is pretty encouraging. CPI talked about entering metal for years and basically backed away because of the investment required, while Idemia and Thales have actually used Compo to manufacture higher-end metal cards for their own customers. So yeah, relationships matter, but there's real process know-how, IP, certification and scale underneath them

Subject Squishy commentary
Entry 09/04/2026 12:47 PM
Member otto695

Some of the commentary on the recent call in August seems a little squishy relative to the idea that this was a transient, one-off resin-related "blip" of an issue that occurred 6 months ago at Husky and is now in the rearview mirror. In particular:

"The macro environment has improved **marginally** since we last spoke"

"I **don't think you should impute into our comments that we're seeing material improvements** from where we were"

"We see some **marginal** improvement today, but **it's not like we see things back to normal or anywhere close to where we would expect them** ultimately"

How does this square with the notion that the impact was limited to a short time-frame around the start of the war in March and things are now back on track?

Thanks!

Subject	Some questions
Entry	09/04/2026 12:53 PM
Member	Bill

Thanks for the write-up. You seem to base your valuation on P/E, although GPGI has high levels of debt. I thus think a better valuation metric would be EV/EBITDA. How does GPGI look vs your peer group on an EV/EBITDA basis?

There is an increasing amount of noise around the negative health effects of micro-plastics which are ingested every time we drink out of plastic bottles. How do you think about this risk for GPCI, and should it impair the company's valuation vs peers?

It seems that there is a good chance the company lowers guidance due to the back end loaded progression. Why not wait until they report next quarter to potentially buy?

Metal credit cards seem like a commodity to me and physical credit cards will become less common over time. How do you think about this risk and its impact on GPCI's valuation?

Subject	Re: Squishy commentary
Entry	09/04/2026 01:02 PM
Member	KMart

I don't think those comments contradict the thesis. Management was clearly trying not to give the impression that hitting guidance requires some major improvement in the market backdrop. If they had said that, I think investors would have been even more skeptical. Their point was basically that the current plan should work with only modest improvement from here. I do think conditions are getting better, just gradually rather than all at once. I've been checking in with a consistent group of customers since this began in March, and those conversations have increasingly confirmed that the environment is improving and capex planning is moving forward again, particularly for later this year and, more importantly, 2027. The resin spike was the one-time shock. The normalization in customer behavior was always going to take longer than the commodity move itself. Direction of travel is what is most important to set up for a big 2027 when the whole narrative around this flips.

Subject	Re: Some questions
Entry	09/04/2026 01:17 PM
Member	KMart

(1) The same comp group trades for an average of 15.2x '27e EV/EBITDA. The range is 9.7x (ESAB) to 19.1x (AME). I have GPPI at 8.8x. >405 discount.

(2) I view microplastics as a potential LT risk, but not one that warrants a discount today. Husky's growth is increasingly driven by emerging markets, including India where beverage volumes are growing mid-teens%, and I don't think microplastics are anywhere near the radar there. If consumer behavior eventually shifts away from plastic bottles, which I'd expect to be gradual, and PET growth actually slows, I'd reassess Husky's outlook. There's no evidence of that today.

(3) I actually expect them to narrow guidance, just because leaving a ~\$60mm EBITDA range for 4Q would be kind of absurd, but I think they can narrow around the midpoint. 2Q hit their own internal expectations, and the back-end loading was already known when they reset guidance on 1Q. The midpoint also assumed basically status quo around SOH, while oil and resin prices are actually below where they were then. There was also real fear of broad force majeure at Husky customers because they couldn't get resin, and that never came to fruition in any meaningful way. The bigger upside would be a preliminary 2027 outlook on 3Q, which would shift the debate to what matters. Vertiv did something similar by giving a preliminary 2023 outlook on 2Q22 during its own messy period.

(4) I don't think physical cards are going away anytime soon. Apple Pay has been around for more than a decade, yet mobile wallets still represent only ~6% of U.S. in-store payments and that share has been basically flat since 2019. Apple Pay has won share, but largely from other mobile wallets rather than dramatically expanding the category. Diners Club launched the first widely used general-purpose credit card in 1950, and I think that is a useful historical analog for how sticky payment habits are. 75 years later, banks still issue checkbooks because new payment methods tend to coexist with old ones rather than immediately replace them. More importantly, today's "rewards war" for mass-affluent consumers is actually making the physical card more important as a branding and acquisition tool. Metal is a real selling point, while the incremental cost is tiny relative to what issuers spend acquiring and retaining these customers. Compo estimates that only a 1-2% lift in usage is needed to justify the economics.

Subject Re: Re: Squishy commentary
Entry 09/04/2026 03:06 PM
Member otto695

Thanks. what do you make of the 17% short position, if anything?

Subject Re: Re: Re: Squishy commentary
Entry 09/04/2026 03:47 PM
Member KMart

Always been a head scratcher. I've heard that there is outsized trading volume from "quants" everyday (always a big volume ticket at the closing bell). Think GPPI in some "SOH closure loser" and "crypto currency" (when CMPO came out as a SPAC way before Cote was involved their Arculus product had them pitched as a crypto wallet in some circles) baskets. Just means I've got 30mm shares that need to be bought when these guys deliver.

Subject did you read short thesis?
Entry 09/04/2026 04:29 PM
Member specialk992

I know this one a little, I was long Composecure when it was a busted SPAC before Cote got involved, because it does seem like they have a moat in metal cards and no one else really seemed to be able to step up and take share.

But I was short a little GPPI when the Q1 report came out because of the [Jehoshaphat Research](#) short report, the analyst behind it has a great track record. This thesis was a little squishy because not much info was available, but the main points were that the supposed Husky FCF and EBITDA numbers moved around a lot, the business had been owned by a savvy private equity seller for a long time with little growth and likely few further efficiencies to be gained, and the Husky management team mysteriously departed after acquisition with no replacements ready. I thought the latter was a huge tell something was amiss, maybe was more lucky than good with the resin stuff. But why get rid of a management team if the problem was a resin cost issue completely outside of their control?

I also think this RHLD stuff is ridiculous and surprised they get away with it- is Cote really such a business genius his holding company deserves to get 10% of EBITDA as a "management fee" because he submitted a bid with the highest number in a PE-backed company auction? Why isn't his comp as CEO of GPPI and appreciation of his ownership stake enough to align interests? Seems abusive to minority shareholders.

Subject Re: did you read short thesis?
Entry 09/04/2026 05:27 PM
Member Houdini

No dog in this fight at the moment.

But not sure I understand the "abuse of minority shareholders" point.

RHLD spun out of the parent company. The original Composecure shareholders received shares. There was no destruction of value-- there was a transfer to the rightful owners in an unorthodox structure. From there, shareholders can decide whether they want to be involved in either entity, both, or neither.

But if you buy GPGI today and then say it is an abuse of minority shareholders, that misses the point. There was no abuse-- there was a transfer. The market price should reflect the value at each entity post-transfer.

Subject	Re: did you read short thesis?
Entry	09/04/2026 09:27 PM
Member	KMart

Yes, I read it. I think the author was wrong on the core financial thesis, but obviously made money because the report landed immediately before the Iran war created a totally separate macro shock.

On the management departures, I just don't buy the sinister interpretation. Dave Cote is a brutally demanding, hands-on operator. He does not show up promising status quo or incrementalism. He expects people in the building, accountable, moving fast and fully bought into the operating model. That probably means a very different life for executives who had been based in Florida and North Carolina, and that is simply not going to be for everyone. After reading his book, I like to say that "I'd much rather have Dave Cote working for me, then me working for Dave Cote." :)

My read is that the outgoing CEO and CFO likely understood that over time Cote was going to want his own team anyway. I view that as a positive, not a red flag. Cote is not passive governance. He is going to push this business hard, and the people who thrive under him can create enormous wealth.

I'm happy to debate the other points in the report too, but I don't think it's especially fruitful. (Remember when the catalyst was the big Platinum offering that never came?)

The operating results have already refuted most of the financial claims, even through a macro backdrop that was materially worse than anyone expected.

And yeah, I'm with Houdini on this. I don't really get the "abuse of minority shareholders" argument. RHLD was spun out and the original Compo shareholders got the shares, so it's not like value just disappeared. From there, investors could own GPGI, RHLD, both or neither.

More importantly, the RHLD fee is already fully baked into the GPGI numbers I'm underwriting. Even after including it, I still get EPS going from \$1.11 in 2026 to \$1.65 in 2028 and ~\$2.30 by 2030, and I think both EPS and FCF growth should outpace the industrial peer group over the next 3-5 years.

So to me the question isn't whether the structure is unconventional. The question is whether the economics still work for GPGI shareholders after fully accounting for the fee. I think they clearly do. And if you really think RHLD is so grossly overpaid for what it does, then buy that one too :)

Subject	Re: Re: did you read short thesis?
Entry	09/08/2026 03:31 PM
Member	BSCM753

Thanks for the write-up and high quality back-and-forth. Just going to add color to the CMPO/Huskey management change discussion. As a multi-year holder of VRT (Cote's first SPAC), I can attest to KMart's perspective on Cote's demanding management style and intense/relentless analysis of management efficacy. Former VRT CEO Rob Johnson simply did not meet expectations and was replaced with a superstar (Gio Albertazzi). We later learned that Rob was never the CEO that would've been hired by Cote if he had a clean slate. The same dynamic existed at CMPO (former CEO Jon Wilk) and Huskey as well. Cote comes in like a new GM of an NFL franchise - the ideal is to bring in his own guy rather than inherit someone else's coaching hire. It becomes very clear to him whether an executive can hack it - and if not he wants to make the change as early as possible. Doesn't mean the former executives were incompetent - but it means it was clear to Cote that they didn't meet his very demanding standard. The headwinds due to the war (hopefully temporary) gave Cote a crisis that he didn't let go to waste (just like at VRT - where he replaced CEO following inflation causing price/cost issues). The management change is a positive, not a negative, in our view.